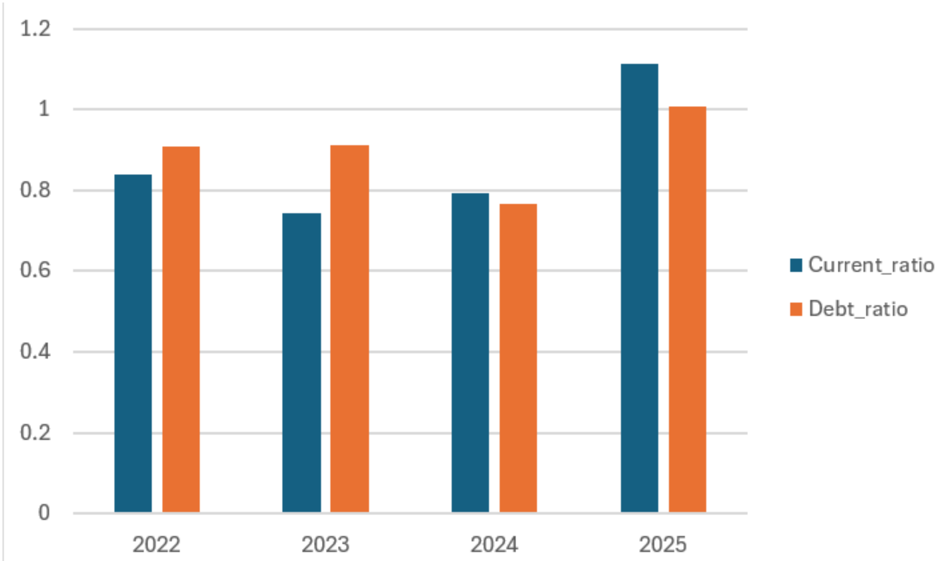
Liquidity and Solvency



Debt ratio

- The debt ratio shows the proportion of the company's assets that are funded by debt.
- The year 2023 shows the lowest overall debt ratio with a positive sign.
- When the debt ratio is below 1, this shows that not all assets are covered by debt.
- When the debt ratio exceeds 1, this means that liabilities exceed assets and the company is at risk of default.
- The year 2025 shows that the debt ratio is 1. This means that all assets are funded by debt.
- Because substituting debt with the issue of equity is not an option, considering that equity has already been issued in excess, the possible remedies for this situation are:
  - Use excess operational cash flow to aggressively pay off outstanding principal balances.
  - Sell slow-moving stock at a discount to convert stagnant inventory into immediate, liquid cash reserves.

Current ratio

- The current ratio shows a company's ability to pay its short-term debt using its short-term assets.

- Unlike the debt ratio, we want the current ratio to be above 1. This shows that current assets can cover current liabilities, thus the cash on hand can easily cover current debt.
- The current ratio for 2025 exceeds 1, which means that the company has more short-term assets to cover its short-term liabilities.